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"THE FOUR MOST dangerous words in investing are: it's different this time."

This oft-repeated quote in reference to the stock market was uttered by legendary investor and money manager Sir John Templeton. The mutual fund pioneer would certainly know. His Templeton Growth Fund launched in 1954 delivered 15 per cent returns annually for 38 consecutive years. The quote may well have been uttered ages ago, but it has stood the test of time. There is no market cycle—especially periods of upswings—when a large section of market experts has not uttered the same four dangerous words: it's different this time.

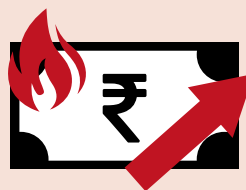
58 | Interestingly, it's no different this time, too!

Both the Indian benchmark indices—the BSE Sensex and the broader Nifty 50 of the National Stock Exchange—touched their respective highs in July, and market experts were quick to point out how the rally in the Indian stock market was different this time around, especially when many other foreign markets were struggling amid global and their own set of domestic headwinds.

For India, the strong domestic growth and consumption story, along with the government's focus on infrastructure and initiatives like 'Make in India' and the production-linked incentive (PLI) scheme, were said to be driving the markets. Further, strong liquidity support from both foreign and domestic institutional investors is also being held up as a huge catalyst. The period between March and July has seen foreign portfolio investors (FPIs) ploughing in more than \$19 billion in Indian equities, with the months of May, June and July registering inflows of over \$5 billion each. Domestic institutional investors (DIIs)—mutual funds, banks, insurance companies, domestic financial institutions and the National Pension System (NPS)—are also not far behind, with net flows of \$11.20 billion in the current calendar year till August 16.

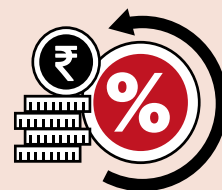
But, is it really different this time? If yes, then there shouldn't have been any correction, because only the absence of an ensuing fall after record highs would

THE RISK & REWARD PARADIGM



KEY RISKS

- High earnings growth expectations
- Political surprises (state/general elections)
- Global equity markets correction
- Higher crude oil prices; inflation
- Future US Fed commentary and actions
- Possible recession in developed markets
- Feared El Niño pattern actually occurs and India receives deficient monsoon



KEY POSITIVES

- Higher infrastructure spends ahead of elections
- Recession no longer a risk in India
- Monetary policy moving towards final leg of rate hikes
- Strong liquidity support from foreign and domestic institutions
- Better-than-expected economic recovery; strong balance sheets
- Resilience of the Indian economy
- Initiatives like PLI and Make in India can help boost manufacturing

make this market cycle any different. The benchmark Sensex has fallen more than 2,200 points, or nearly 3.3 per cent till August 14, from its all-time high of 67,619.17, touched only on July 20.

Incidentally, the Indian benchmark—that was amongst the best performing ones in the current calendar year (CY23) when it touched its new high in July—currently lags in returns when compared with global and Asian peers including the S&P 500 of the US, Japan's Nikkei, South Korea's Kospi and Brazil's Bovespa.